

OVERVIEW

Strategic Capital was founded by Tsuyoshi Maruki and Dan Kato in 2012 as one of the only Tokyo-based Activist hedge funds focusing on publicly traded small- and mid-cap Japanese companies. As two pioneers of shareholder activism in Japan, they leverage their experience and locational advantage to aggressively pressure management of asset-rich, stable Japanese companies trading at substantial discounts to intrinsic value, to improve corporate governance and/or capital allocation and unlock shareholder value.

PORTFOLIO COMMENTARY

- We continued our dialogue with the management of our investee companies through in-person meetings.
- We made FSPs and English campaign websites to the companies on the right. We also made a FSP to Goldcrest.
- We withdrew the proposals to [Sanyo Denki](#), due to price appreciation and explanations provided by management and [Mizuho FG](#), due to a material decrease in their shareholding ratio in Orico. See links for details.

2026 CAMPAIGN WEBSITES

[GungHo](#) [Orico/Mizuho FG](#)
[Sanyo Denki](#) [Noritake](#)
[Keihanshin](#) [Yellow Hat](#)
[Nippon Steel/Osaka Steel](#)

MONTHLY NET PERFORMANCE*

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD	TOPIX ¹
2026	2.59%	5.65%	-6.67%	7.92%	1.29%								10.56%	17.13%
2025	-1.95%	2.06%	0.39%	1.49%	2.16%	0.30%	1.53%	3.18%	0.98%	-0.33%	3.97%	0.88%	15.54%	24.98%
2024	3.70%	4.39%	3.58%	2.91%	0.09%	5.60%	4.88%	5.20%	3.40%	-3.17%	-1.46%	2.58%	36.20%	20.02%
2023	3.31%	-1.80%	1.69%	5.54%	2.39%	5.17%	2.04%	1.24%	4.55%	3.13%	4.88%	3.50%	41.75%	27.77%
2022	-3.40%	-1.50%	-3.50%	0.07%	5.98%	1.25%	0.33%	3.09%	-2.94%	4.75%	2.75%	2.31%	8.99%	-2.86%
2021	-4.29%	1.85%	6.74%	-3.09%	8.60%	-0.22%	1.39%	-1.52%	1.55%	-0.05%	-4.55%	8.18%	14.34%	12.38%
2020	-0.91%	-15.31%	-3.61%	2.09%	7.82%	-6.12%	-8.03%	17.66%	4.29%	0.55%	2.89%	-0.40%	-2.77%	6.99%
2019	13.15%	1.24%	3.80%	-3.03%	13.79%	2.85%	8.91%	1.86%	4.77%	6.48%	4.58%	3.19%	80.22%	17.67%
2018	-1.58%	2.30%	-0.50%	1.95%	0.08%	-1.73%	1.06%	-9.56%	3.12%	-4.57%	0.07%	-13.90%	-22.15%	-16.26%
2017	1.09%	1.15%	2.63%	1.79%	2.56%	4.85%	1.20%	-0.14%	5.07%	1.54%	-2.08%	2.67%	24.51%	21.84%
2016	-6.08%	-6.36%	8.91%	0.67%	0.07%	-7.59%	6.92%	0.39%	-2.30%	5.31%	6.72%	2.70%	7.91%	-0.02%
2015	-1.67%	2.46%	0.26%	6.16%	2.75%	-1.28%	3.49%	-1.54%	-2.93%	3.77%	4.89%	-0.64%	16.35%	11.73%
2014	2.12%	-2.30%	-0.38%	-1.05%	2.35%	8.85%	1.30%	2.45%	4.56%	-1.01%	-4.93%	2.35%	14.53%	8.85%
2013	9.51%	5.12%	5.79%	7.36%	-3.81%	-7.33%	0.46%	-1.49%	8.22%	1.43%	7.87%	1.95%	39.25%	51.46%
2012												4.98%	4.98%	9.95%

* Oldest share class used (mgmt. fee 2% to 04/2016, 1.25% thereafter, perf fee 20% over 7.5% hurdle w/catch up to 12/2020, 4% hurdle no catch up thereafter). PERFORMANCE FOR OTHER SHARE CLASSES CAN VARY DEPENDING ON TERMS.

SUMMARY STATISTICS & CHARACTERISTICS

as of 05/31/2026	Japan-Up	TOPIX ¹		Japan-Up	TOPIX ¹		Japan-Up	TOPIX ¹	Exposure	Japan-Up
3 months	2.0%	1.4%	Sharpe ratio	1.16	0.89	PB ³	1.04	1.73	Number Core holdings	15
12 Months	22.6%	44.0%	Information ratio	0.35		PER ³	29.60	22.32	Gross leverage	101%
3 years	121.2%	97.2%	Sortino (R _f Rate) ²	2.19	1.61	EV/EBITDA ³	10.28	10.26	Top 5 (total exposure %)	55%
5 years	180.7%	128.1%	Down Months	48	55	Div. Yield	2.79	2.08	Median market cap	¥153.52B
10 years	483.8%	249.9%	Up:Down Capture	84 : 40					3 Year Correlation	
ITD	997.3%	537.5%	Max drawdown	-23.8%	-24.1%				TOPIX	0.48
CAGR	19.4%	14.7%	DD/Recovery (Mos)	7/6	13/13				S&P500 USD	0.33
Ann Std Dev	15.6%	15.1%	Trough Date	Dec-18	Jun-16				MSCI EAFE USD	0.51

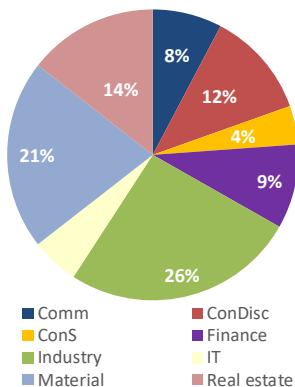
¹ TOPIX NTR from 9/14, TOPIX 12/12 to 8/14.

² Downside deviation calculated using 0%

where excess returns are positive.

³ weighted harmonic average

SECTOR EXPOSURE



TOP 5 HOLDINGS

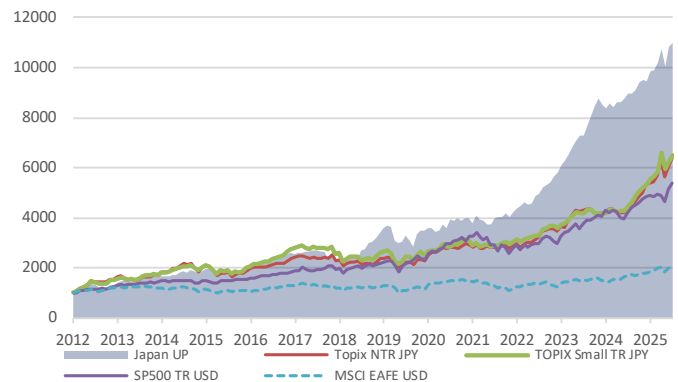
Sanyo Denki	(6516)
Yellow Hat	(9882)
Orient Corp	(8585)
Goldcrest	(8871)
KH Neochem	(4189)

** SIGNIFICANT TRIM/ADDS

- KH Neochem (4189) 15.36% → 17.08%
- Noritake (5331) 9.22% → 5.22%
- Sanyo Denki (6516) 15.89% → 14.84%
- A&D Holon (7745) 10.57% → 12.91%
- Orient Corp (8585) 11.78% → 12.80%
- Keihanshin (8818) 11.99% → 10.66%

**Combined changes filed with FSA or completed exits.

GROWTH OF 1000



FUND AT A GLANCE

Manager name	Strategic Capital, Inc.
Manager registration	Director-General, Kanto Local Finance Bureau (FIBO) No 2786
Strategy Inception	12.04.2012
Domicile	Cayman Islands
Structure	UT-LP (Master-Feeder) LP I (Pass through) LP II (Corporate blocker)
AUM	JPY 208.3 billion (Approx. USD 1307.6 m)
Minimum investment	JPY 100 m or USD 1 million
Currency	JPY or USD hedged
Dealing Date	Monthly
Redemption frequency/notice	Quarterly/90 days' notice
Lock up	1-year soft lock (5% early redemption)

SERVICE PROVIDERS

Administrator	Citco Fund Services
Trustee	Intertrust Trustees (Cayman) Ltd.
General Partner	SCJP Ltd.
Legal Counsel	Walkers Global Day Pitney LLC
Auditor (Offshore)	DLA Piper
Custodian	PricewaterhouseCoopers Mizuho Bank

CONTACT US

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- (A) a corporation (which is not an accredited investor (as defined in Section 4A of the SFA)), the sole business of which is to hold investments and the entire share capital of which is owned by one or more individuals, each of whom is an accredited investor; or
- (B) a trust (where the trustee is not an accredited investor) whose sole purpose is to hold investments and each beneficiary of the trust is an individual who is an accredited investor, securities (as defined in Section 239(1) of the SFA) of that corporation or the beneficiaries' rights and interest (however described) in that trust shall not be transferred within six months after that corporation or that trust has acquired the Units pursuant to an offer made under Section 305 except:
 - (i) to an institutional investor or to a relevant person defined in Section 305(5) of the SFA, or (in the case of a corporation) where the transfer arises from an offer referred to in Section 305A(2)(i)(B) of the SFA or (in the case of a trust) where the transfer arises from an offer referred to in Section 305A(3)(i)(B) of the SFA.
 - (ii) where no consideration is or will be given for the transfer.
 - (iii) where the transfer is by operation of law.
 - (iv) as specified in Section 305A (5) of the SFA; or
 - (v) as specified in Regulation 36 of the Securities and Futures (Offer of Investments) (Collective Investment Schemes) Regulations 2005 of Singapore.

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